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FREE GUIDE FOR BUYERS

The Acquisition Checklist

How to structure your first $5M–$100M business purchase — and the deal-breakers that end most of them.

PREPARED BY REIL ACQUISITIONS

Two-sided M&A representation for the Midwest mid-market.
Built by operators who have bought, run and sold their own companies.

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HOW TO USE THIS

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There are two ways to lose money in an acquisition. The first is paying too much. The second — far more common, and far more expensive — is buying the wrong business. This checklist attacks both.

Work through it in order. The first four sections are preparation you complete **before** you make an offer. The last two are what you run **after** your offer is accepted, when every day of diligence costs money.

PHASE	WHAT IT DECIDES
2. Deal Evaluation	Whether this specific business is worth a second look
4. Financing & Structure	How the deal gets funded and how risk gets split
6. Diligence & Close	What to verify before you wire a dollar

A word of warning: deal-breakers are not negotiating points. Section 5 exists because most buyers see a red flag, decide it is manageable, and find out eighteen months later that it was not.

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SECTION 1

Pre-R

You are ready to buy when a deal can close without panic. Run this list honestly — every item is something a seller or their broker will test you on.

Equity in hand — 10–30% of purchase price in liquid capital, not home equity or retirement money you cannot access.

Working capital reserve — Six to twelve months of the target's operating expenses *on top of* the purchase price. Deals die here.

Deal costs budgeted — Diligence, legal, accounting and QofE typically run 3–6% of enterprise value. Budget it before you shop.

Pre-qualification letter — A written indication from a lender you have actually spoken with beats a generic bank relationship every time.

SBA 7(a) eligibility understood — Most acquisitions of operating businesses qualify. Understand the personal guarantee and the 10-year amortization before you assume it fits.

A lender who does your industry — Cash-flow lending on a services business and an asset-based loan on a manufacturer are different animals.

Time to run diligence — 60–120 days of part-time attention is not enough. Be realistic about who does this work.

Advisors lined up — An M&A attorney and a CPA who have closed acquisitions — not just any attorney and CPA.

A clear thesis — One sentence on why this business, this industry, this geography. If you cannot write the sentence, you are not ready.

Exit thinking — How you eventually get paid back. Buying without this is how buyers become owners forever.

The readiness test: if your lender, your attorney and your spouse all knew the full plan today, would the deal still close? If not, fix that first.

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SECTION 2

Deal R

Most listings are screened out in twenty minutes. Use this order — cheapest filter first.

Revenue durability — Recurring, contractual or repeat revenue beats one-off project revenue. A three-year customer history is the minimum.

Customer concentration — No single customer above 15–20% of revenue; top five combined under 40%. Above that, you are buying a customer relationship, not a company.

Revenue trend — Three to five years, not one. Declining revenue with “one bad year” is declining revenue.

Gross margin — Compare to industry norms. Below-average margin usually means pricing power you cannot fix quickly.

SDE vs EBITDA — For owner-operated businesses under roughly $5M earnings, SDE. Above that, EBITDA. Using the wrong one overpays by the owner’s compensation.

Add-backs verified — Every add-back must be a genuine, documented, non-recurring expense. Personal vehicles, family payroll and “run-rate” adjustments are where projections get invented.

Cash conversion — Profitable on paper but always short of cash is a working-capital problem you are about to inherit.

Owner dependency — Would revenue survive a 90-day absence by the owner? If not, price the replacement into the deal.

Key employees — Are the two or three people who actually run the business staying? Get that in writing before LOI.

Systems and records — Clean books, documented process, real software. Chaos is a cost, and it is yours.

Screen-out rule: *if two or more conditions in this section are red, stop. There is no discount that makes a structurally broken business safe.*

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SECTION 3

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Valuation is arithmetic wrapped in judgment. Do the arithmetic first — it is not negotiable — then apply judgment about risk.

Step 1 — Normalize earnings. Start with net income. Add back owner compensation above market rate, personal expenses run through the business, one-time legal or moving costs, and non-cash items. Subtract anything the business needs but the owner stopped spending on (deferred maintenance, underfunded marketing). The result is your true earnings number.

Step 2 — Apply the right multiple. Multiples are a proxy for risk: recurring revenue, transferable operations and clean books earn more. Owner dependency, concentration and volatility earn less.

Step 3 — Adjust for what you must fix. Every item on the diligence list that requires capital, time or new people reduces your number. This is where disciplined buyers separate from hopeful ones.

BUSINESS PROFILE	TYPICAL SDE / EBITDA MULTIPLE
Established services with management in place	3.0x – 4.5x
Distribution / logistics with contracts	4.5x – 6.5x
Healthcare, dental, veterinary practice	4.0x – 7.0x

Reality check: *ranges are market observation, not appraisal. Enterprise value moves with deal structure — seller financing, earnouts and contingent payments all transfer risk, and risk transfer is what a multiple really prices.*

- Paying a multiple on projected earnings instead of historical, verified earnings.
- Accepting the broker's SDE without recomputing it from tax returns and bank statements.
- Forgetting that the owner's salary must be replaced — a $250K add-back is a real $250K cost.
- Ignoring capex: a business that needs $400K of new equipment is worth $400K less.
- Falling in love with the business before running the numbers.

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SECTION 4

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How a deal is structured matters more than the headline price. Two offers at $5M are not the same offer.

SOURCE	TYPICAL SHARE	WHAT IT USUALLY COSTS
Senior debt / SBA 7(a)	50–70%	Personal guarantee, fixed amortization
Earnout	0–20%	Paid only on performance you must be able to measure

Seller financing — The single strongest signal of seller confidence. A seller who refuses any note is telling you something.

Earnout mechanics — If you use an earnout, define the accounting rules for it *before* signing. Disputes are common and expensive.

Working capital peg — Set a target and a mechanism. Without a peg, the seller collects receivables on the way out and you fund the gap.

Asset vs stock purchase — Asset purchases usually protect the buyer from historical liabilities. Ask your attorney which applies here.

Reps and warranties — The seller's promises are only worth the escrow or holdback behind them.

Non-compete and transition period — Price the owner's 6–12 month handover into the deal. Without it, you bought a phone book.

SBA note: 7(a) loans are the most common path for acquisitions under roughly $5M. Expect full personal guarantee, collateral on personal assets, and a requirement that the seller carry a note in many cases. Plan for it rather than discovering it at closing.

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SECTION 5

The R

This is the most important page in this document. Any single one of these justified pausing or walking — not discounting.

One customer above 25% of revenue, or the top three above 60%. If that customer leaves, the business you financed is gone while the debt is not.

The owner holds the relationships, the technical knowledge, or the licenses. If the seller will not sign a meaningful transition and non-compete, you are buying a job with extra steps.

Tax returns and bank deposits that do not support the SDE or EBITDA being marketed. Reconcile every add-back to source documents or walk.

Back taxes, payroll exposure, pending litigation, warranty or environmental obligations, unfunded pension liability. Verify by exception, not by assurance.

Two or more years of decline explained by market conditions, a lost client, or “a bad hire.” Trends are more honest than narratives.

Refusal of a quality-of-earnings review, delay of access, or figures that change between conversations. Opaque books are the most reliable predictor of a bad deal.

Verbal arrangements, handshake supply deals, crony contracts. If it is not written and assignable, it does not exist after closing.

If you find one of these after LOI, the right response is to re-price the deal significantly — not to talk yourself into the original number. If you find two, walk.

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SECTION 6

Due R

Run these in order of risk, not alphabetical order. The first four sink most deals.

AREA	WHAT YOU ARE ACTUALLY LOOKING FOR
Customer	Contracts, retention over three years, concentration, pricing history, any relationship held only by the seller
Tax	Sales and use tax compliance, payroll tax filings, nexus exposure, any unpaid assessments
Operations	Equipment condition, deferred maintenance, capex history, supplier terms, single-source risks
Technology	Ownership of software, data rights, security posture, any critical system held in the seller's name

Diligence discipline: get everything in writing and keep a running issues log with a dollar value beside each item. An issue without a number is an argument; an issue with a number is a negotiation.

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SECTION 7

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A typical acquisition closes in 60–120 days from accepted letter of intent. Here is what should happen, and roughly when.

WHEN	WHAT HAPPENS	YOUR JOB
Days 1–10	Diligence opens	Request the full document list on day one, not week three
Days 30–45	Financing	Lender underwriting, appraisal, personal financial package
Days 55–75	Conditions cleared	Landlord consents, key contracts assigned, licenses transferred
Days 110–200	Integration	Systems, reporting, and the handover you negotiated

The two most common causes of a blown close: *incomplete records discovered in week five instead of week one, and financing terms that were never actually confirmed with a lender before the LOI was signed.*

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SECTION 8

First

The deal is not the finish line. Most value is destroyed in the first quarter of ownership, usually by moving faster than the business can absorb.

WINDOW	PRIORITY
Days 1–30	Secure the money: bank access, payroll continuity, lockbox or payment redirection, review every signer on every account
Days 30–60	Install reporting. Monthly financials you trust, a simple KPI set, weekly cash visibility
Days 60–90	Begin the integration plan: systems, pricing, and the growth thesis you bought the business for

REIL represents buyers and sellers of $5M–$100M businesses across Wisconsin, Illinois, Iowa, Michigan and Minnesota. If you want vetted, confidential opportunities — or a straight answer about whether you are ready to buy — start a confidential conversation.

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This guide is general information for business buyers, not legal, tax or accounting advice. Every transaction is different — work with qualified advisors on your specific deal.

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